

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.

Complainant,

v.

SM LINE CORPORATION

Respondent.

Docket No. 23-01

**COMPLAINANT’S MOTION FOR EXTENSION OF SCHEDULING ORDER, OR, IN
THE ALTERNATIVE, MOTION FOR STATUS CONFERENCE**

Complainant Samsung Electronics America, Inc. (“SEA”) respectfully requests extension of all remaining deadlines in the revised Scheduling Order dated September 7, 2023 (“Scheduling Order”) as outlined below. Alternatively, SEA requests a status conference with the Presiding Officer at its earliest opportunity to address the circumstances surrounding the request. Because the discovery deficiencies of Respondent SM Line Corporation (“SM Line”) are still being determined with over 31,000 pages of documents produced last week, SEA recognizes that the status conference may be premature. Nonetheless, with the first deposition scheduled to begin on October 31, 2023, SEA found it most prudent to address the extension request as soon as practicable, while planning to address, if necessary, the SM Line discovery deficiencies later, when this last belated production has been fully assessed.

I. PRELIMINARY STATEMENT

The last thing SEA wanted to do is to seek additional time for discovery. It challenged SM Line’s extended discovery phase for this very reason. But SM Line’s late production of

documents has left SEA with no choice but to seek relief to avoid prejudicing the prosecution of its case in chief with depositions scheduled to begin next week.

SEA completed its document production on August 18 under the original scheduling order; SEA also did not yet designate any document confidential or attorneys' eyes only ("AEO") in an effort to move the case forward as quickly and efficiently as possible. Over two (2) months have passed, and SM Line did not raise a formal complaint about SEA's production.

In contrast, the pace of SM Line's document production has been woefully dilatory. After initial productions – devoid of any meaningful, internal communications or discussions of the issues at hand – SM Line requested and was granted extension of then-remaining deadlines. Even then, the agreed-upon rolling productions did not occur, and only after repeated follow-up efforts by SEA did SM Line make a production on September 28, 2023.¹ Since then, and until 10:27 p.m. on October 17, 2023 (the last day to complete document production), SM Line did not produce any responsive documents. Another twenty-four (24) hours later, at 10:21 p.m. on October 18, 2023 – a day past the document completion deadline – SM Line made yet another production because "some documents" – over 13,000 pages – were left out.

SM Line's late document production on October 17 and 18, 2023 comprised of over 31,000 pages of relevant documents, including *thousands* of new emails related to some of the six (6) SM Line witnesses for which initial notices of deposition were issued, whose depositions SEA noticed nearly two (2) months ago. Further, data analytics show that only a miniscule (0.2%) portion of SM Line's production is primarily in Korean – a principal reason SM Line represented to the Presiding Officer that additional time was necessary.²

¹ See **Exhibit 1** (Email exchange between counsel for the parties from September 13 to September 27, 2023).

² Indeed, SM Line stated in its motion to amend the scheduling order (Dkt. No. 17): "There is not only the sheer quantity of the documentation received, which has to be read page by page, but there is also the fact that (1) a portion of the documents (in the thousands) are in a foreign language, and (2) many of the

Against this backdrop, SEA's ability to orderly review the latest SM Line production for the purpose of preparing for and taking depositions of SM Line witnesses has been hampered. The prejudice to SEA is more pronounced, given that SEA is to depose the first SM Line witness (Ms. Andrea Askins) in just one week, despite the fact that on October 17, 2023 SM Line produced **over 1,500** emails relating to her. Equally concerning, SM Line's production to date has also revealed serious deficiencies as more fully described below.³ Last, SEA expects to issue a subpoena for deposition of a former SM Line executive with critically relevant information,⁴ who now resides in South Korea; this process under the Hague Convention will require take time.

Pursuant to 46 C.F.R. §§ 502.71(a), on October 23, 2023, counsel for SEA conferred with counsel for SM Line concerning an extension of time. On the morning of October 24, 2023, SEA provided SM Line a copy of this Motion in draft form. SM Line advised that while it disagrees with SEA's recitation of facts supporting the Motion,⁵ it nonetheless does not oppose the extension request therein.

For all the foregoing reasons, a reasonable extension of all remaining deadline in the Scheduling Order is warranted. In the proposed schedule below, SEA has added seven weeks beyond the current deposition phase as the remainder of this month and part of next month will be used to process these new SM Line-produced documents and address the deficiencies in the

documents contains both responsive information and information that is not responsive but still includes information that is confidential – all of these documents require redactions.”

³ The parties have begun meeting and conferring on these issues in hopes of resolving them without burdening the Presiding Officer, but doing so will likewise take some time.

⁴ For instance, in a document just produced by SM Line, the FMC issued a letter to this witness in October 2021, notifying FMC's identification of certain best demurrage and detention practices in light of the ocean shipping supply chain and congestion issues during the pandemic and asking SM Line to review and adopt the same. On October 23, 2023, SEA has alerted SM Line of the need to depose this witness, and SEA will work with SM Line to make this process as streamlined as possible.

⁵ At 11:26 pm ET on October 24, 2023, SM Line advised that SEA can proceed with filing its draft motion as it would address its production in a separate filing.

production response. The remainder of November and December 2023 and part of January 2024 will then be used for depositions, accounting for the holiday seasons. The schedule below maintains the months' time for the other deadlines as follows:

January 19, 2024	Complete fact depositions
January 22, 2024	Expert discovery begins
February 9, 2024	Close of all discovery
March 15, 2024	Complainant's brief, proposed findings of fact, and appendix
April 15, 2024	Respondent's opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix
April 29, 2024	Complainant's reply brief and responses to proposed findings of fact

II. ARGUMENT

1. SM Line's Latest Document Dump is Prejudicially Late

As SM Line has known for more than a month, the deadline to "complete" document production was October 17. SM Line's October 17 and 18 productions were not only late, but also, setting aside the reasons for SM Line's "oversight," it is simply not the case that "some documents" were left out inadvertently. SM Line's late, sixth October 18 production consists of nearly 1,800 documents comprising over 13,000 pages. SEA took SM Line's August 25 representation at face value that it "appreciate[s] that 'data-dumping' does no one good,"⁶ and yet that appears to be exactly where the parties find themselves.

Likewise, SM Line has repeatedly represented that it will meet its discovery obligations in good faith and with efficiency, but the actual process suggests the opposite. As discussed among the parties numerous times and before the Presiding Officer, SM Line committed to frontloading production of documents relevant to the first six SM Line deponents ("Priority

⁶ See Exhibit 2 (August 25, 2023 email exchange among counsel).

Witnesses”) well in advance to allow ample time for SEA’s review before depositions. Yet, in addition to the sheer volume, SM Line’s last two productions (October 17 and 18) included nearly 3,000 additional emails totaling almost 50,000 pages for the Priority Witnesses, forcing SEA and its counsel into the impossible task of reviewing them in a matter of a week and a half to prepare for upcoming depositions. SEA also notes that many of these emails are in Korean, requiring translation, which will require additional time and efforts.

SM Line’s pace of document production is curious given the dearth of primarily Korean language documents actually produced. SEA’s data analytics show that SM Line’s entire production includes only 110 documents that are primarily in Korean or 0.2% (110 out of 50,505 total documents).⁷ This is in direct contradiction of SM Line’s August 25 representation that “I was very clear that the speed of our review and production should slow down namely because we are reviewing more emails (many with foreign languages and redaction needs).”⁸ It simply makes no sense why and how, out of thousands of Korean language documents SM Line supposedly reviewed manually, its production includes such a low count of primarily Korean language documents. SM Line has yet to explain this anomaly.

For these reasons, SM Line has put SEA in a situation where it has no choice but to seek a reasonable amount of time so as to enable orderly review of SM Line’s last-minute, massive production before proceeding with depositions.

2. SM Line’s Production Suffers From Many Facial Deficiencies

SEA’s initial review of SM Line’s late production on October 17 and 18 reveals a series of facial deficiencies, all of which will take time to resolve and, if necessary, motion practice before the Presiding Officer in due course.

⁷ See **Exhibit 3** (language analytics on SM Line production to date).

⁸ See **Exhibit 2**.

First, SM Line unilaterally redacted many documents, which simply black out portion(s) of emails or spreadsheets without any indication as to the bases of such redactions. SEA has requested SM Line explain the reasons for which SM Line believed redactions were justified, *e.g.*, for privilege, or third-party related information, and the like. SM Line has taken this request under advisement.⁹

Second, SM Line produced only a negligible number of emails for two of the Priority Witnesses: 117 emails related to YeonHui Yi and only 59 emails related to Chian Ma. Both individuals have been identified by SM Line as people with relevant knowledge, and indeed Chian Ma was the sender of SM Line's demand letter of September 28, 2023 addressed to SEA, seeking nearly \$3.8M in allegedly outstanding detention charges. It defies logic that these two individuals would have so few responsive emails, when the remaining four Priority Witnesses all have responsive emails in the thousands. SEA has inquired about the specific search method SM Line employed in connection with reviewing documents related to these two persons, but SM Line has yet to respond.

Third, in connection with the Korean language documents, which supposedly delayed SM Line's document review and production process, it remains unclear how many such emails SM Line did indeed review. SEA has raised this issue with SM Line, which has yet to respond.

In addition to the issues above, SEA expects to depose at least one overseas witness (a former executive at SM Line), which necessitates service of process under the Hague Convention.¹⁰ All of the foregoing issues will need to be considered and resolved before SEA

⁹ See **Exhibit 4** (email exchange among counsel between October 19 and 20, 2023).

¹⁰ The parties are also working through its disagreements on SM Line's (over)use of AEO designation. SEA requested a summary of the number of documents SM Line marked as confidential or AEO as the manner in which the documents were produced did not allow for the analysis, SM Line has taken the request under advisement. While SEA hopes to resolve this issue without judicial intervention, should it be necessary, SEA reserves the right to move for appropriate relief at a later date.

can proceed with the deposition phase of this case. As such, a reasonable extension of all remaining deadline in this matter is warranted, and this Motion should be granted.

III. CONCLUSION

For the foregoing reasons, SEA respectfully requests that the Presiding Officer grant this Motion and amend the Scheduling Order as requested herein. SEA stands ready to join a status conference, should the Presiding Officer deem it necessary, to address all issues raised in this Motion.

Dated: October 24, 2023

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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